

COMPLETE COURSE

Strategic Management

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PART 1

FOUNDATIONS

Steps 1.1–1.2 · Strategy · Vision · Mission · Objectives

STRATEGY

What Is Corporate Strategy?

Strategy is the direction and scope of an organisation over the long-term, achieving advantage through its configuration of resources and competencies (*Johnson, Scholes and Whittington*). Strategy sets where the business is going; operations execute that direction day to day.

Strategy answers three questions: Where are we now? Where do we want to go? How do we get there? Every framework in this course maps onto one of these three.

LEVELS

The Three Levels of Strategy

Strategy operates at three levels. Identifying which level a decision belongs to is a core exam skill — case questions frequently ask you to classify and explain.

Level	Focus	Example (Zambeef)
Corporate	Which industries and markets to compete in. Portfolio decisions. Capital allocation across units.	Zambeef expands cold-chain operations into East Africa alongside its Zambian business.
Business (Competitive)	How to compete within a specific market. Which customers to serve. How to beat rivals.	Zambeef retail competes on freshness and convenience rather than undercutting market stalls on price.
Functional / Operational	Day-to-day implementation through HR, marketing, finance, and operations.	Zambeef marketing allocates ZMW 80,000 to a loyalty scheme for repeat customers.

Corporate = 'what businesses should we be in?'

Business = 'how do we compete in this business?'

Functional = 'how do we execute that strategy day to day?'

Classify the level before analysing the decision.

MINTZBERG

The Five Ps of Strategy

Mintzberg argued strategy is not always deliberate. He identified five forms it takes:

P	What it means
Plan	A conscious, top-down process — analyse, choose, implement. The formal written strategy.
Ploy	A tactical manoeuvre against a specific rival. Not the long-run position — just the move.
Pattern	Consistent behaviour that emerges over time, planned or not. Strategy as what you repeatedly do.
Position	How the firm places itself relative to competitors and the external environment.
Perspective	The organisation's ingrained worldview — its shared assumptions about how to compete.

Plan vs. Pattern is the most tested pair. Plan is deliberate and top-down. Pattern is emergent — consistent decisions over time whether or not anyone planned it. A company can have an emergent pattern that contradicts its written plan.

PROCESS

The Strategic Management Process

Strategic management is a cycle of four stages. 'Describe the process' is a standard long-answer question — know each stage by name.

Stage	What happens
1. Environmental Analysis	Scan external threats and opportunities; audit internal resources and capabilities. Tools: PESTEL, Porter's Five Forces, SWOT, VRIO.
2. Strategy Formulation	Set mission and objectives; generate strategic options; choose direction. Tools: Ansoff, BCG, Generic Strategies.
3. Strategy Implementation	Convert chosen strategy into structures, budgets, processes, and people.
4. Evaluation and Control	Monitor performance against targets; feed findings back into the next planning cycle.

DIRECTION

The Four Components of Organisational Direction

Component	The question it answers	Time focus
Strategic Vision	Where are we going and why?	Long-term future
Mission Statement	What do we do right now, and for whom?	Present day
Core Values	What principles govern how we behave?	Ongoing
Objectives	What specific results must we achieve?	Short and long-term

VISION

Strategic Vision

A strategic vision describes management's aspirations for the company's future and the course charted to achieve them. It answers *where are we going?* — not what the company does today.

A good vision is specific enough to guide resource allocation decisions, forward-looking, feasible, and short enough to be memorable. Generic superlatives — 'be the best', 'lead the industry' — tell no one where to go.

Exam test: does the statement describe a future destination with enough specificity to guide decisions? If it could belong to any company in any industry, it has failed as a vision.

MISSION

Mission Statement

The mission is grounded in the present. It answers *what do we do, for whom, and how?* A well-crafted mission identifies the products or services offered, the needs satisfied, the customer groups served, and what sets the organisation apart from rivals.

	Vision	Mission
Time	Future state — where we are going	Present state — why we exist today
Core question	Where are we headed?	What do we do, for whom, and how?
Exam test	Forward-looking and specific enough to guide decisions?	Describes current purpose, scope, and what sets the organisation apart?

The most common exam error: confusing vision and mission. A mission written in the future tense is probably a vision. A vision describing current operations is probably a mission. Pin each to its question before analysing it.

VALUES

Core Values

Core values are the beliefs and behavioural norms employees are expected to display in pursuing the firm's vision and mission. When leadership genuinely models them, they become the reference point for decisions in situations where no rule exists. Values that conflict with strategy create internal contradiction — and values that leadership does not live destroy credibility faster than having none at all.

OBJECTIVES

Setting Objectives

Type	Targets	Example
Financial	Revenue, profit, margins, return on investment, cash flow.	ZESCO: ZMW 2.4 billion revenue, 18% operating margin by year-end.
Strategic	Market position, customer relationships, product capability — the non-financial drivers of future performance.	ZESCO: 85% rural electrification coverage within five years.

Financial results are **lagging indicators** — they reflect decisions made months ago. Strategic objectives are **leading indicators**: winning on market standing today predicts financial performance tomorrow. Optimising only for financial targets is how companies post strong short-term results while eroding long-term position.

Well-Stated Objectives — Four Requirements

- **Specific** — precise enough that everyone agrees on what success looks like.
- **Measurable** — a number or observable milestone, not a direction.
- **Challenging** — ambitious enough to push performance, not so easy it creates complacency.
- **Time-bound** — a deadline, not an open-ended aspiration.

Stretch objectives push targets high enough to force creative thinking about how to achieve results. A company with **strategic intent** commits its full resources relentlessly to one ambitious long-term goal — an obsession that focuses the whole organisation.

The Balanced Scorecard

The Balanced Scorecard prevents hitting financial targets while eroding the foundations that sustain them. It tracks performance across four perspectives:

Perspective	What it measures
Financial	Revenue, profit, return on investment.
Customer	Market share, retention, satisfaction.
Internal Processes	Efficiency, quality, speed of delivery.
Learning and Growth	Employee capability, technology, culture.

Why are financial objectives alone insufficient? Because they are lagging. The other three perspectives show whether the organisation is building or eroding the capacity to perform financially in the future.

PART 2

ENVIRONMENT

Steps 2.1–2.2 · PESTEL · Porter's Five Forces · SWOT · Value Chain · VRIO

ORIENTATION

Two Layers of the Outside World

Layer	What it covers	Primary tool
Macro environment	Broad forces that affect all industries — politics, economics, society, technology, ecology, law. No single company controls them.	PESTEL Analysis
Industry environment	The competitive structure of the specific market you operate in — who the rivals are, where the power sits, what threatens your position.	Porter's Five Forces

PESTEL answers: *what forces are shaping the world we compete in?* Porter's Five Forces answers: *what is the competitive structure of our specific industry?* Neither replaces the other.

PESTEL

PESTEL Analysis

Factor	What to monitor
Political	Government stability, tax policy, trade regulations, foreign investment rules, state ownership requirements.
Economic	GDP growth, inflation, interest rates, exchange rates, employment levels, credit availability.
Social	Demographics, urbanisation, education levels, cultural attitudes, consumer behaviour shifts.
Technological	Digital infrastructure, automation, fintech disruption, mobile penetration, platform ecosystems.
Environmental	Climate risk, ecological regulations, sustainability requirements from investors and lenders.
Legal	Competition law, employment law, consumer protection, sector licensing and regulatory frameworks.

Political and Economic Factors in Zambia

When the Zambian government adjusted mining royalty rates in 2019 — raising them for open-cast mines to 9% at copper prices above USD 7,500 per tonne — First Quantum and other mining houses had to rebuild their investment cases overnight. No amount of internal efficiency offsets a policy change that moves the cost line by that magnitude.

Between 2015 and 2023, the kwacha depreciated from roughly K8 per USD to over K25. Any company holding USD-denominated debt or importing inputs in foreign currency absorbed that depreciation directly as a cost increase. Combined with inflation peaking above 22% in 2021, the economic environment forced constant revision of pricing, sourcing, and financing.

Social and Technological Factors in Zambia

Zambia's population is young — over 60% are under 25 — and rapidly urbanising. Mobile money penetration has outpaced formal banking: MTN Mobile Money and Airtel Money collectively serve more Zambians than all commercial banks combined by transaction volume. A distribution strategy built around physical branches in 2015 was positioned for the wrong market by 2022.

Exam application: PESTEL is not a checklist to fill in — it is a thinking tool. The question is not 'what are the factors?' but 'which factors are most material to this specific company in this specific context, and how do they interact?'

FIVE FORCES

Porter's Five Forces

The framework maps the competitive structure of an industry — where the power sits, what threatens margins, and whether an industry is structurally attractive or structurally difficult to profit in.

Force	What it measures
1. Competitive Rivalry	The intensity of competition among existing players.
2. Threat of New Entrants	How easily new competitors can enter the industry.
3. Bargaining Power of Suppliers	How much leverage suppliers have over pricing and terms.
4. Bargaining Power of Buyers	How much power customers have to demand lower prices or better terms.
5. Threat of Substitutes	How easily customers can switch to a different product that serves the same underlying need.

Zambia's commercial banking sector: rivalry among Zanaco, Absa, FNB, Stanbic is intense — same urban, salaried customer base, low switching costs, thin differentiation. Bank of Zambia requires K104 million in minimum paid-up capital for a banking licence — a substantial barrier. But Airtel and MTN entered as mobile money operators under a different regulatory category with their existing subscriber bases. The framework only reveals this threat if you ask: who can serve the same need by a different route?

Zambeef depends on ZESCO for cold-chain electricity — the sole grid provider. When ZESCO implements load-shedding, Zambeef runs generators at cost or absorbs spoilage. Supplier power is extreme when there is no alternative.

Key exam distinction: substitutes are NOT competitive rivalry. Rivalry is between companies in the same industry (Zanaco vs. Absa). Substitution comes from a different category serving the same underlying need (mobile money vs. a bank current account). A substitute can be more dangerous precisely because it arrives from outside your frame.

ORIENTATION

Looking Inward After Looking Out

The same question as the external analysis, just from the inside: given what the world looks like, what does your organisation actually have to work with? SWOT surfaces relative strengths and weaknesses, the Value Chain shows where value is created or lost, and VRIO tests whether a specific resource is genuinely a source of competitive advantage.

SWOT

SWOT – The Internal Half

Dimension	What it captures	Internal or External?
Strengths	Resources and capabilities that give the organisation an edge.	Internal
Weaknesses	Gaps and limitations where the organisation underperforms.	Internal
Opportunities	Favourable external conditions from PESTEL or Porter's.	External
Threats	Adverse external conditions that could damage performance.	External

Strengths and weaknesses are relative, not absolute. Zambeef's vertically integrated cold chain is a strength when supply chain reliability matters. When ZESCO implements sustained load-shedding, that same integration becomes a vulnerability — every link depends on electricity the company does not control. A strength in one environment can be a weakness in another.

Exam test for SWOT: a strength must be relevant to the strategy and superior to what rivals have. If every competitor in the industry has the same capability, it is not a strength — it is the minimum requirement for competing.

VALUE CHAIN

Porter's Value Chain

The Value Chain breaks a company's operations into the sequence of activities that create value for the customer. The analysis asks where the company creates more value than it costs to produce — and where it does not.

Category	Activity	What it covers
Primary	Inbound Logistics	Receiving, storing, and distributing inputs — raw materials, components, stock.
Primary	Operations	Transforming inputs into the finished product or service.
Primary	Outbound Logistics	Storing and distributing the finished product to customers.
Primary	Marketing & Sales	Making customers aware of and willing to buy the product.
Primary	Service	After-sale activities that maintain or enhance the product's value.
Support	Procurement	Acquiring the inputs used across all primary activities.
Support	Technology Development	Systems, R&D;, and process improvements that support primary activities.
Support	Human Resources	Recruiting, training, and retaining the people who run every activity.
Support	Firm Infrastructure	Finance, planning, legal, and general management.

Zambeef's competitive position rests on its primary activities: inbound logistics (own farms), operations (own abattoirs and processing), and outbound logistics (own cold-chain fleet and retail outlets). A competitor sourcing externally and distributing through third-party retailers has less control at each link. That gap is where Zambeef's advantage lives.

VRIO

The VRIO Framework

VRIO tests whether a specific resource or capability translates into competitive advantage — and if so, whether that advantage is sustainable.

Value	Rarity	Inimitable	Organised	Competitive implication
No	—	—	—	Competitive disadvantage — the resource destroys rather than creates value.
Yes	No	—	—	Competitive parity — everyone has it; it's the industry standard, not an edge.
Yes	Yes	No	—	Temporary advantage — rivals can copy it; the lead erodes over time.
Yes	Yes	Yes	No	Unrealised advantage — the capability exists but the company is not structured to exploit it.
Yes	Yes	Yes	Yes	Sustained competitive advantage — the source of above-average returns over time.

First Quantum's mineral rights at Kansanshi pass all four tests: valuable (copper production), rare (specific rights to that ore body), inimitable (enormous capital and geological knowledge required to replicate), and organised (dedicated operational systems and technical expertise). The result is a sustained competitive position smaller miners cannot match.

MTN Zambia's mobile money platform is valuable and rare. But it is becoming imitable — Airtel Money has built comparable scale. Unless MTN deepens inimitability through data advantages or ecosystem lock-in, the advantage is temporary. VRIO asks not just 'do we have it?' but 'how long will it hold?'

Common exam error: treating all company resources as strengths. VRIO separates resources that create advantage from those that simply keep the company in the game. A bank with ATMs across Lusaka has Value — but so does every other bank. It passes V, fails R. That is parity, not advantage.

PART 3

STRATEGY

Steps 3.1–3.3 · Corporate · Competitive · Implementation

LEVELS

Where Strategy-Making Happens

Parts 1 and 2 built the analytical foundation. Now the work shifts from analysis to choice. Strategic choices happen at three distinct levels — each answering a different question, involving different decision-makers, and operating on a different time horizon.

Level	Who decides	Core question	Time horizon
Corporate	Board / Group CEO	Which businesses should we be in? How do we allocate capital across them?	5–10 years
Business	Divisional MD / BU head	How do we compete and win within our chosen market?	2–5 years
Functional	Functional heads (CFO, CMO, COO)	How does each function support the business strategy?	1–2 years

CORPORATE STRATEGY

The Four Corporate-Level Strategy Directions

At the corporate level, the fundamental question is: *What direction should this organisation move in?* Every corporate-level decision fits one of four directions.

Direction	What it means	When to choose it
Growth	Expand — into new products, markets, or businesses.	When the environment offers real opportunity and the firm has capability and capital to capture it.
Stability	Maintain the current position. Protect what works without significant new investment.	When the market is mature and disruption carries more risk than growth.
Retrenchment	Pull back — cut costs, exit underperforming businesses, refocus on core strengths.	When performance is declining or parts of the portfolio are destroying value.
Combination	Apply different directions to different business units simultaneously.	When the portfolio is diverse — some units merit growth, others stability or exit.

Most large Zambian organisations are combination strategists without labelling it: Zambeef invests aggressively in cold-chain capacity (growth) while running its retail outlets as mature steady earners (stability). First Quantum expands into new minerals while exiting mines that no longer cover their cost of capital (retrenchment).

GROWTH PATHS

How Organisations Expand: Four Paths

1. Concentrated Growth (Intensification)

Focus resources on profitable growth within the **existing product in the existing market**. Zambia's mobile-money market used concentrated growth for years — MTN, Airtel, and Zamtel competing intensely for the same customer base before market saturation pushed them toward new segments.

2. Market and Product Development

Market development takes an existing product into a new market (e.g., Zambian Breweries expanding into rural areas or neighbouring countries). **Product development** launches new products for existing customers (e.g., a bank launching insurance products to its account holders). Both leverage something the firm already knows well — lower risk than full diversification.

3. Vertical Integration

- **Backward integration:** Control upstream — Zambeef's ownership of feedlots, abattoirs, and processing plants. Controls input costs and quality at every stage from farm to packaged product.
- **Forward integration:** A manufacturer opening its own retail outlets instead of selling through distributors. Advantage: margin capture and direct customer relationships. Risk: retail requires different capabilities than manufacturing.

4. Horizontal Integration

Acquire or merge with a **competitor at the same stage** of the value chain. Goal: scale, market share, and elimination of a rival. Stanbic's acquisition of CFC Bank in Zambia is horizontal integration — same industry, same customer base, merged to achieve scale. Risk: mergers are expensive to execute, and cultural clashes frequently destroy the value they were meant to create.

DIVERSIFICATION

Moving Beyond the Core Business

Related Diversification (Concentric)

Enter businesses that share technology, customers, distribution channels, or brand with the core. A Zambian bank entering asset management, insurance, or stockbroking: same customers, complementary products, shared compliance infrastructure. The test is whether real synergies exist — specific cost savings or revenue enhancements, not just the word 'synergy.'

Unrelated Diversification (Conglomerate)

Enter businesses with no strategic connection to the core. The only rationale is financial — the acquirer believes it can manage the business better, or that different cash flows reduce overall risk. Most large conglomerates eventually break up because the parts are worth more separately than together.

The three tests for any diversification: (1) Industry attractiveness — is the target industry genuinely attractive? (2) Cost of entry — will you pay so much that future profits can never justify the price? (3) Better-off test — will the combined entity be better off than the businesses operating independently?

PORTFOLIO ANALYSIS

The BCG Matrix: Allocating Capital Across the Portfolio

The BCG Growth-Share Matrix maps every business unit on two dimensions: **market growth rate** and **relative market share**. It answers: where do we invest, where do we harvest, and where do we exit?

Quadrant	Market growth	Relative share	Strategic logic	Cash flow
Stars	High	High	Invest heavily to maintain position. Will become Cash Cows as market matures.	Roughly neutral
Cash Cows	Low	High	Milk the profits. Don't over-invest; extract cash to fund Stars and Question Marks.	Strong positive
Question Marks	High	Low	Invest to become a Star, or exit before the market matures and you're stuck as a Dog.	Negative
Dogs	Low	Low	Exit or reposition. Rarely justify their cost of capital.	Neutral to negative

Zambian Breweries: **Mosi Lager** (dominant mass-market beer, high share in a mature market) is a classic **Cash Cow** — the earnings engine. Sorghum-based affordable beers sit somewhere between Cash Cow and Star. Premium imported brands are **Question Marks** — invest seriously in premium positioning, or leave that segment to independents.

BCG limitation: The matrix assumes market share drives profitability and that high-growth markets are always worth entering. Neither is universally true. Use BCG as a starting framework, not a formula — the three diversification tests still apply.

COMPETITIVE STRATEGY

From Portfolio to Battlefield

Corporate strategy answered: *Which businesses should we be in?* Competitive strategy answers: *How do we compete and win in the business we have chosen?* Porter's core argument is that sustainable competitive advantage comes from choosing a clear position — and that the worst strategic error is being stuck in the middle: neither cost-competitive nor meaningfully differentiated.

Stuck-in-the-middle firms earn below-average returns across every industry.

GENERIC STRATEGIES

Porter's Three Generic Strategies

Two dimensions define the competitive space: the **source of advantage** (lower cost vs unique value) and the **competitive scope** (broad market vs narrow segment).

Strategy	Source of advantage	Scope	How to win	Core risk
Cost Leadership	Lower cost than rivals	Broad market	Produce at lower cost than anyone — pass some savings on, keep rest as margin.	Technology change erodes cost advantage overnight.
Differentiation	Unique value customers prize	Broad market	Offer something competitors cannot easily replicate — brand, technology, service. Charge a premium.	Competitors imitate. Preferences shift.
Cost Focus	Lower cost within a segment	Narrow segment	Be the low-cost provider for a specific niche.	Segment shrinks. Broad cost leaders attack.
Differentiation Focus	Unique value within a segment	Narrow segment	Serve a segment so well that broader competitors cannot match you.	Broad differentiators narrow their focus.

Stuck in the Middle: A Zambian supermarket that tries to match Shoprite's prices AND offer premium imported goods AND compete on convenient locations will be worse than Shoprite at cost, worse than specialty retailers at range, and worse at everything else. Pick one position and make it defensible.

EXECUTION

Achieving and Defending Each Position

How to Achieve Cost Leadership

- Scale: higher volume spreads fixed costs over more units (Zambia's telecom operators)
- Experience curve: cumulative production lowers unit costs over time
- Process design: standardised, efficient workflows reduce labour and waste
- Supply chain: preferred supplier contracts, bulk purchasing, backward integration
- Technology: automation of routine tasks, digital delivery instead of physical

How to Achieve Differentiation

- Brand: built over years, impossible to copy quickly (MTN's brand in Zambia)
- Proprietary technology or process: unique capability not available to rivals
- Customer relationships: deep loyalty and switching costs
- Quality signals: certifications, awards, reputation built over time

- Integration depth: like Zambeef's farm-to-retail chain, creating end-to-end control

OFFENSIVE MOVES

Offensive Strategies: Going on the Attack

Offensive move	What it involves	When to use it
Attack competitor strengths	Match or exceed rivals in their area of advantage — out-invest, out-innovate, undercut on price.	When you have resources to sustain the fight and the prize justifies the cost.
Attack competitor weaknesses	Target gaps: underserved segments, slow distribution, weak customer service.	When rivals are overextended or have neglected specific segments.
End-run (blue ocean)	Bypass competition by creating a new market space where rivals don't yet compete.	When existing markets are saturated and there is a genuine underserved need.
Guerrilla offensives	Small targeted strikes — price promotions in specific regions, aggressive local marketing.	When the firm lacks scale for direct assault but can inflict damage selectively.
Pre-emptive strikes	Lock up resources, talent, or partnerships before rivals can.	When a new opportunity is emerging and being first creates durable lock-in.

First-mover advantages in Zambia: Airtel Money's predecessor entered mobile money early and built a customer base that later entrants struggled to displace. Network effects made it self-reinforcing — the more users, the more useful. Late entrants had to spend heavily on incentives just to reach parity.

DEFENSIVE MOVES

Defensive Strategies: Holding Your Ground

Raising Barriers to Attack

- Switching costs: make it expensive or inconvenient for customers to leave (loyalty programmes, data lock-in, long contracts)
- Broaden the product range: fill gaps that rivals could exploit for entry
- Exclusive supplier or distribution agreements: deny rivals access to key inputs or channels
- Signal strength: communicate convincingly that you will defend your position vigorously — deters opportunistic entry

Responding to an Attack

If a rival attacks your core segment with lower prices, the question is not 'match the price' but 'why are customers defecting, and can we fix that without destroying margin?' A targeted response — price match only in the attacked segment, not market-wide — sends a signal without collapsing your entire pricing structure.

Defensive principle: the goal is not to respond to every attack but to make your position structurally unattractive to attack. If rivals know you will defend aggressively and have the resources to do so, they will often look elsewhere. The best defence is building genuine advantages that competitors cannot easily replicate.

IMPLEMENTATION

The Execution Problem

Analysis and strategic choice are complete. None of it matters until translated into action. McKinsey research shows fewer than one in three strategically important initiatives is executed as planned. The root causes are almost never the strategy itself — they are execution failures: misaligned structures, wrong metrics, change resistance, and resources not matching priorities.

Implementation is not a one-off event. It requires ongoing monitoring, comparison against targets, and willingness to adapt when the plan meets reality. Strategy without control drifts. Control without strategy optimises for the wrong outcomes.

ALIGNMENT

The McKinsey 7-S Framework

Seven internal elements must point in the same direction for strategy to succeed. If even one is misaligned, execution suffers.

Element	What it means	Key question
Strategy	The direction and choices the organisation is pursuing	Is the strategy clear and understood at every level?
Structure	How authority, accountability, and decision-making are organised	Does the structure enable strategy or create barriers?
Systems	Processes, budgets, information flows, and measurement	Do systems measure and reward behaviours the strategy requires?
Style	Leadership approach and cultural tone from the top	Does leadership model the behaviour the strategy asks for?
Staff	People — hiring, development, talent pipeline	Do we have the right people in the roles the strategy depends on?
Skills	Distinctive capabilities and organisational competencies	What capabilities does the strategy require, and where are the gaps?
Shared Values	Core purpose and culture — the centre of the model	Do people believe in what the organisation stands for?

Zambian bank example: Digital-first strategy to reach unbanked customers via mobile. Strategy is clear. Branch structure remains hierarchical with decisions made centrally (Structure misaligned). Technology hiring constrained by grade-band pay built for branch roles (Staff misaligned). Bonuses still reward in-branch transactions, not mobile onboarding (Systems misaligned). Six of seven elements pulling against the strategy — it will fail.

MEASUREMENT

The Balanced Scorecard: Measuring What Matters

Strategy is a hypothesis: *if we do X, then Y will result*. The Balanced Scorecard translates that hypothesis into measurable targets across four perspectives, making it possible to monitor whether the strategy is working and to intervene before financial results deteriorate.

Perspective	Strategic question	What to measure
Financial	Is the strategy delivering financial returns?	Revenue growth, profit margin, cash flow, ROI on strategic initiatives
Customer	Are target customers satisfied and loyal?	Customer satisfaction score, retention rate, market share in target segment
Internal Process	Are we executing critical processes efficiently?	Process cycle time, quality defect rate, speed of key workflows
Learning & Growth	Are we building the capabilities the strategy requires?	Employee capability index, training hours, rate of innovation

The **cause-and-effect chain**: invest in Learning & Growth (train people) → improve Internal Processes (serve faster, fewer errors) → improve Customer outcomes (higher satisfaction, lower churn) → improve Financial results. Without this chain, a company can hit financial targets by destroying the capabilities that will generate next year's results.

CHANGE MANAGEMENT

Kotter's 8-Step Model

Strategy fundamentally requires people to change behaviour. Kotter's research identifies the sequence that separates successful transformations from failures:

Step	Action required	Cost of skipping
1. Establish urgency	Make a compelling case for why change is necessary now	Inertia wins — people wait for someone else to move first
2. Build a coalition	Recruit powerful sponsors who believe in the change	Isolated advocates cannot overcome systemic scepticism
3. Form a vision	Articulate a clear picture of what success looks like	People don't know the destination and default to the past
4. Communicate constantly	Repeat the vision through every channel available	Message gets lost — employees hear what they want to hear
5. Remove barriers	Give people permission and resources to act on the vision	Bureaucracy blocks change before it starts
6. Create early wins	Identify and celebrate quick, visible victories	Momentum dies; sceptics say 'I told you so'
7. Build on wins	Keep pressure on; avoid declaring victory prematurely	Old habits resurface the moment leadership attention moves on
8. Anchor the change	Embed new behaviour in culture, systems, and hiring	Change is fragile and reverts under pressure

Budget and time estimates for implementation should include 30-40% effort on change management. If you are not investing in getting people to change behaviour, the strategy has no chance of landing.

STRUCTURE

Structure Follows Strategy

Chandler's principle: structure should follow strategy. Organisations redesign their strategy and then try to execute it with structures built for a different purpose. The result is friction — decisions made in the wrong place, accountability diffused, coordination failures. Choosing the right structure is a strategic decision, not an HR exercise.

Structure	How it works	Best-fit strategy	Key risk
Functional	Grouped by function: Finance, Sales, Operations, HR	Cost leadership, efficiency, stability	Silos create coordination failures across functions
Divisional	Grouped by product, geography, or customer segment	Growth, diversification, multi-market	Duplication of functions increases cost
Matrix	Dual reporting — functional and divisional lines	Innovation, customisation, complex projects	Conflict over authority; confusion about decisions
Network	Loosely coupled units, heavy outsourcing, partnerships	Agility, specialisation, platform strategies	Loss of control; consistency and quality risks

STRATEGIC CONTROL

Monitoring and Adapting

Strategic control asks 'is the strategy itself still valid?' — distinct from operational control, which asks 'are we executing efficiently?' Four types:

- **Premise control:** Monitor the assumptions that justified the strategy. If the PESTEL factors change materially, the strategy may need revision.
- **Implementation control:** Track whether milestones are hit and resources deployed as planned.
- **Strategic surveillance:** Broad monitoring of the competitive environment for unexpected developments.
- **Special alert control:** Pre-defined response protocols for sudden crises — a competitor acquisition, a regulatory change, a supply disruption.

REFERENCE

Master Key Terms – Complete Course Glossary

Foundations (Steps 1.1–1.2)

Term	Definition
Strategy	Direction and scope of an organisation over the long-term, achieving advantage through its configuration of resources and competencies (Johnson, Scholes and Whittington)
Emergent Strategy	A pattern in decisions that arises over time without a deliberate plan — Mintzberg's Pattern P
Competitive Advantage	An attribute enabling a firm to outperform rivals through lower cost or higher perceived value
Mintzberg's Five Ps	Plan, Ploy, Pattern, Position, Perspective — five ways strategy forms in organisations
Strategic Vision	Management's aspirations for the company's future — answers 'where are we going?'
Mission Statement	The company's current purpose — what it does, for whom, and how — answers 'why do we exist today?'
Core Values	Beliefs and behavioural norms employees display in pursuing the firm's vision and mission
Financial Objectives	Targets for revenue, profit, margins, and return on investment — lagging indicators
Strategic Objectives	Targets for market position, customers, and capability — leading indicators of future financial performance
Stretch Objectives	Targets set beyond current comfortable reach to push the organisation to its full potential
Balanced Scorecard	A measurement system tracking performance across four perspectives: Financial, Customer, Internal Process, and Learning & Growth
Leading Indicator	A metric that predicts future performance (e.g., training completion predicts future process quality)
Lagging Indicator	A metric that reflects past performance (e.g., profit margin reflects decisions made months earlier)

Environment (Steps 2.1–2.2)

Term	Definition
Macro environment	The broad external forces — political, economic, social, technological, environmental, and legal — that affect all organisations and cannot be controlled by any single firm
PESTEL Analysis	A framework for scanning the macro environment across six categories: Political, Economic, Social, Technological, Environmental, and Legal
Industry environment	The competitive structure of the specific market an organisation operates in — shaped by rivals, entrants, suppliers, buyers, and substitutes
Porter's Five Forces	A framework analysing industry structure through five sources of competitive pressure: rivalry, new entrants, supplier power, buyer power, and substitutes
Barriers to Entry	Factors making it costly or difficult for new competitors to enter — capital requirements, regulation, brand loyalty, economies of scale
Bargaining Power of Suppliers	The ability of input suppliers to raise prices or restrict terms — strongest when suppliers are few and alternatives limited
Bargaining Power of Buyers	The ability of customers to push down prices or demand better terms — strongest when buyers are large, concentrated, and face low switching costs
Threat of Substitutes	The risk that customers switch to a different product from a different category serving the same underlying need
SWOT Analysis	A framework identifying internal Strengths and Weaknesses alongside external Opportunities and Threats
Value Chain	Porter's framework mapping an organisation's activities into the sequence that creates value — primary activities and support activities
Primary Activities	The five directly value-creating activities: inbound logistics, operations, outbound logistics, marketing and sales, and service
Support Activities	Activities that enable the primary activities: procurement, technology development, human resources, and firm infrastructure
VRIO Framework	A test of whether a resource creates sustained competitive advantage: Valuable, Rare, Inimitable, and Organised to exploit
Sustained Competitive Advantage	A position of above-average performance that persists because the underlying capability passes all four VRIO tests
Core Competency	A capability central to the firm's strategy and performance, typically passing at least V, R, and I of VRIO

Strategy (Steps 3.1–3.3)

Term	Definition
Corporate strategy	Top-level decisions about which businesses an organisation is in and how capital is allocated across them
Retrenchment strategy	Pulling back — reducing scope, cutting costs, or exiting underperforming businesses
Concentrated growth	Growing by deepening penetration of the existing product in the existing market
Vertical integration	Expanding along the supply chain — backward toward suppliers or forward toward customers
Horizontal integration	Acquiring or merging with a competitor at the same stage of the value chain
Related diversification	Entering new businesses that share technology, customers, or channels with the core
Unrelated diversification	Entering businesses with no strategic connection to the core — pure financial rationale
BCG Matrix	A portfolio tool mapping business units by market growth rate and relative market share
Cash Cow	High-share, low-growth unit — generates cash, needs minimal reinvestment
Star	High-share, high-growth unit — invest to maintain; will become Cash Cow as market matures
Question Mark	Low-share, high-growth unit — invest to win or exit before the market matures
Dog	Low-share, low-growth unit — exit or reposition; rarely worth continued investment
Cost leadership	Competing by being the lowest-cost producer in the industry while maintaining acceptable quality
Differentiation	Competing by offering unique value that customers prize and are willing to pay a premium for
Focus strategy	Competing by dominating a narrow market segment with either cost or differentiation advantage
Stuck in the middle	The losing position of firms that pursue neither cost leadership nor meaningful differentiation
First-mover advantage	Benefits gained by entering a market before competitors — brand, customer lock-in, standard-setting
Experience curve	Systematic decline in unit costs as cumulative production increases, due to learning and efficiency gains

Term	Definition
Switching costs	The cost (financial, operational, psychological) of moving from one supplier to another — a key defensive barrier
McKinsey 7-S	Seven elements that must align for strategy to succeed: Strategy, Structure, Systems, Style, Staff, Skills, Shared Values
Kotter's 8-Step Model	A change management sequence: urgency, coalition, vision, communication, empowerment, early wins, consolidation, anchoring
Strategic control	Ongoing monitoring of whether the strategy is being implemented correctly and whether its underlying assumptions remain valid
Premise control	Monitoring the environmental assumptions that justified the strategy — if assumptions change, the strategy may need revision
Structure follows strategy	Chandler's principle: organisational structure should be designed to enable execution of the chosen strategy, not the other way around